REPORT

Savills Research

IN FOCUS:

PRIME CENTRAL LONDON

UK RESIDENTIAL – AUTUMN 2025

FROM ADAPTATION TO OPPORTUNITY

WORDS BY
LIZA-JANE KELLY
Head of London Residential Sales

From the elegant squares of Belgravia, to the bustling streets of Notting Hill, prime central London offers a lifestyle and investment opportunity that few cities can match. Add to this world-class cultural institutions, beautiful parks, and vibrant neighbourhoods, and it's easy to see why the enduring appeal of the Capital lives on despite current market headwinds.

The narrative around London property in 2025 has been dominated by policy shifts - new tax measures, tightening regulations, and talk of market disruption. But step into the world of prime central London, and a more nuanced story emerges.

In our sixth edition of In Focus: Prime Central London, we combine in-depth market analysis from our dedicated research team, which looks at how property and lettings prices are changing, who is moving where, and why, with local insights from our agents on the ground.

Whether you're looking to buy, sell, let, or invest, this report provides everything you need to navigate today's evolving market with confidence.

Contents

TAKING THE TEMPERATURE OF

THE PRIME CENTRAL LONDON MARKET

WORDS BY LUCIAN COOK

Head of Residential Research

A change in the tax environment has opened up a buying opportunity in central London – and with it, a change in buyer profiles

When the temperature starts to plummet in the Arctic winter, the 30-tonne grey whale heads for California – a 6,000-mile journey undertaken over three months. Meanwhile, the Arctic ground squirrel takes a different approach, entering a six-month period of hibernation. By contrast, walruses, whose hides account for roughly 20% of their body weight, remain active and adapt their behaviour to the shifting ice flows.

There is little doubt that climatic conditions for homeowners in prime central London have changed in recent months – largely in response to a colder, harsher tax environment.

Those homeowners have faced similar options to the creatures above: head for milder climes, enter a state of dormancy, or stay put and enjoy everything else the area has to offer. As you might expect, responses have been a combination of all three.

THE GREY WHALES

There is a growing body of evidence, supported by our own surveys, that some who have previously based themselves in the UK have changed their residency. The likes of Dubai, Milan and Monaco have benefited from an influx of wealth at London's expense.

Measures to bring the global assets of long-term resident non-doms within the ambit of UK inheritance tax have eaten away at prime central London's appeal to a relatively footloose community of ultra-high-net-worth individuals.

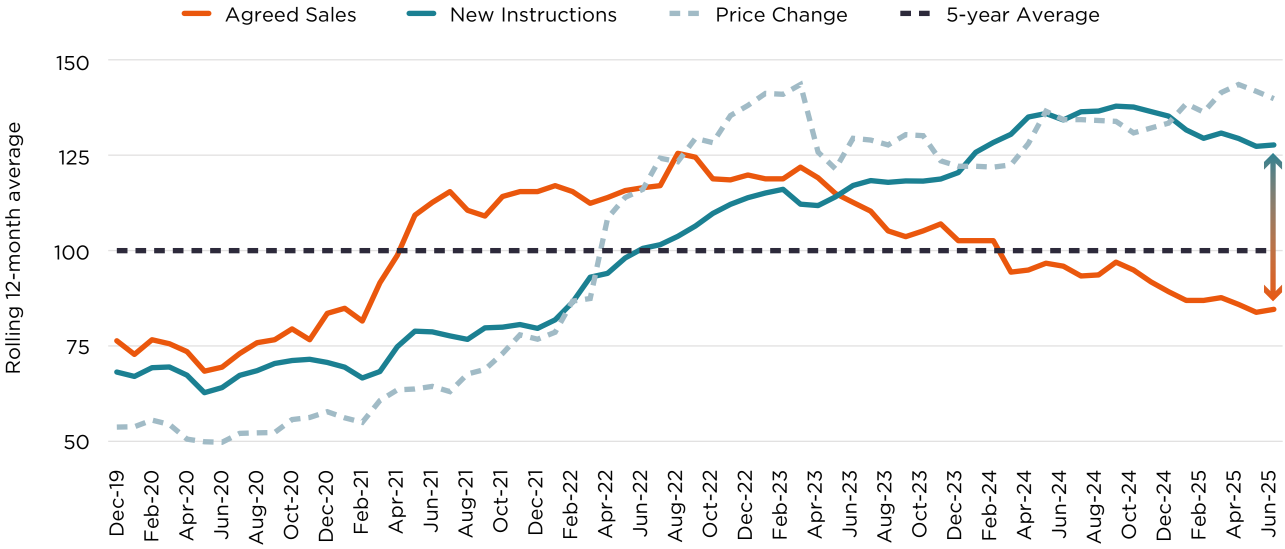
Then, bulking up the stamp duty surcharge for those buying a second home or investment has eroded the buying power of another source of demand.

FEATURES OF A CHANGED ENVIRONMENT

These factors — combined with concerns about how the Chancellor will address the gap in public finances at the next Budget, now scheduled for 26 November — have contributed to a slower transaction market so far this year. This is reflected both in our assessment of £5m+ sales and in the accompanying data from TwentyCi on deals agreed for publicly marketed stock.

The second data source also shows that, despite the relocation of some prime central London homeowners, there has not been a rush of new stock brought to the market since the first Budget of the new government. This is both a testament to London's long-term appeal and recognition that tax environments can change, being ultimately judged on their revenue-raising power.

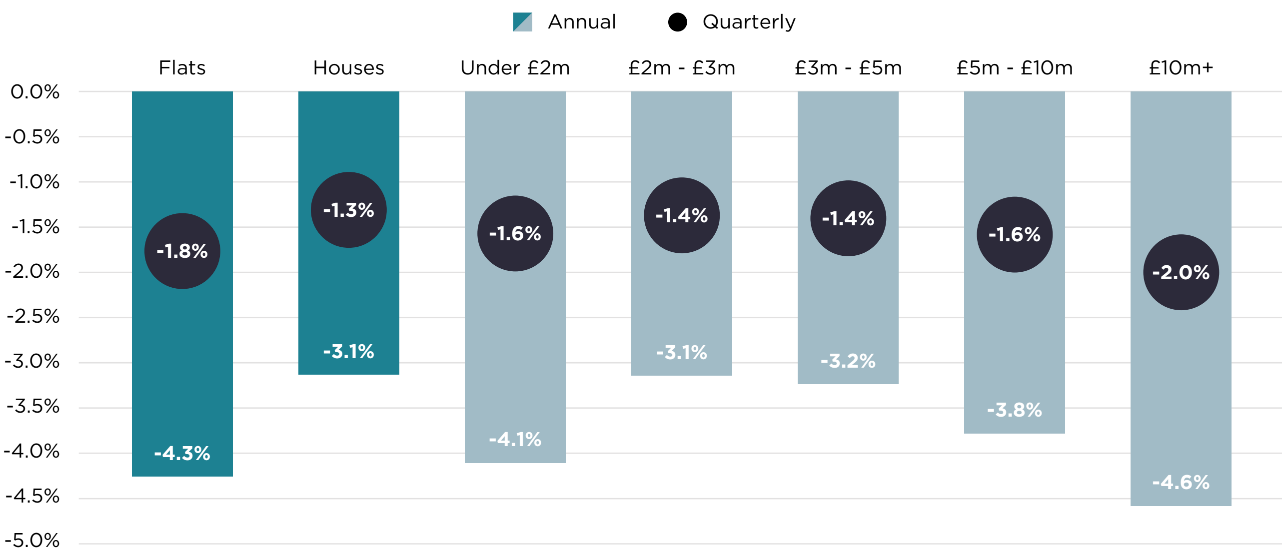
Metrics in the £5m+ London market



Source: Savills research using TwentyCi data, to end of June 2025

But still, the amount of unsold stock on the market has risen, leading to a disconnect between supply and demand. That, in turn, has put continued downward pressure on prices. At the end of June, prices were on average 3.7% below the previous year, and a much more meaningful 22.4% below their level before fiscal climate change set in, back in mid-2014.

Prime central London price movements to June 2025



Source: Savills central London sales index, June 2025

ARCTIC GROUND SQUIRRELS

For another group, the losses they have incurred in that period have encouraged them to wait things out. This group, in particular, will be hoping for a change in direction at the upcoming Budget.

Over the summer, it was widely reported that the Chancellor of the Exchequer was reviewing her decision to expose long-term UK resident non-doms to inheritance tax on their global assets.

While that may be a U-turn too many, it does suggest that calls from the left for a UK widespread wealth tax will, as reported in the broadsheets, ultimately go unheeded. All of the well-documented practical issues with such a policy point towards the burden of increased taxation falling elsewhere.

Cue a raft of options being floated in the media, ranging from removing private residence relief from capital gains tax on high value homes, to replacing stamp duty with annual charges that are linked directly to the value of the properties worth over £500,000.

Until there is certainty about how the government intends to close the gap in public finances, it is unlikely that we will see demand significantly increase. Those who have been seeking to take advantage of the current value on offer, or are looking for a safe haven in an age of geopolitical uncertainty, are likely to need more confidence in the fiscal environment in which they are buying into before they press the button.

I AM THE WALRUS

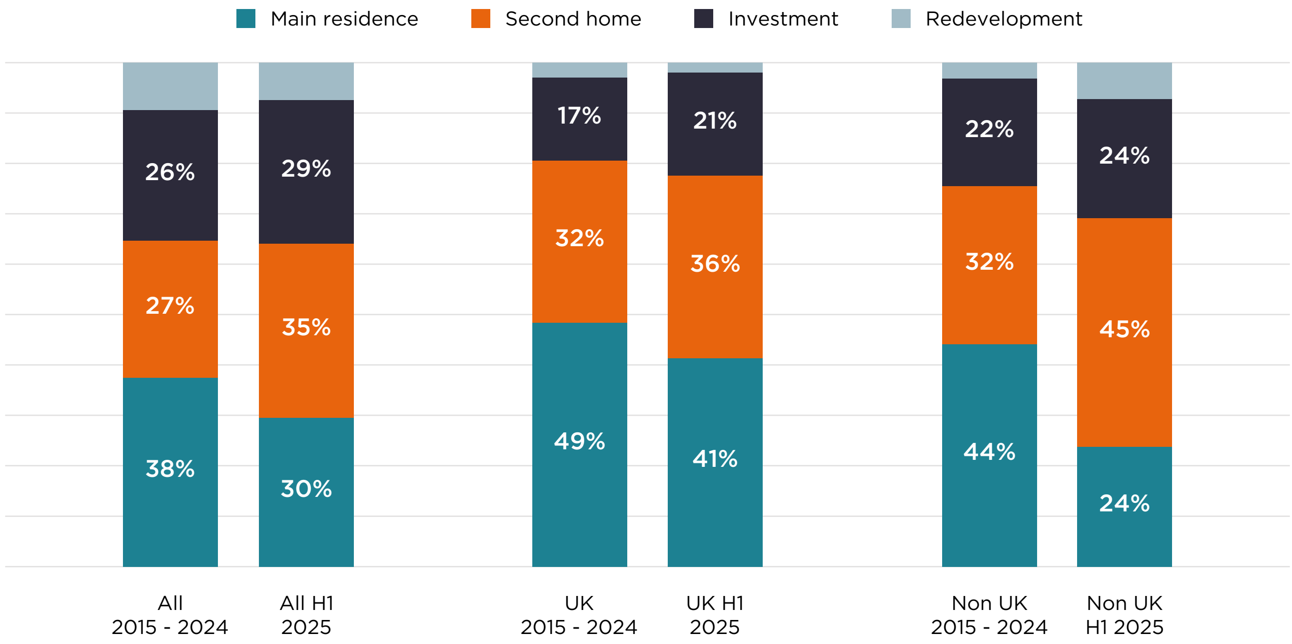
While conditions in prime central London have become less hospitable, there have also been those who have adapted to changes in the ecosystem – prompting a shift in the make-up of buyers and sellers, with some occupational demand being pushed into the prime rental sector.

Purchaser profiles, both domestic and international, have transitioned to younger buyers. They are more likely to have built wealth in emerging sectors, such as tech, and are less worried about distant tax events. To put that into context, our sales data shows that in the 10 years to the end of 2024, 34% of buyers in central London were under the age of 40. In the first six months of this year, that had risen to 46%.

We have also seen domestic buyers who are looking to acquire their main residence take up a bigger share of the market, rising from 54% to 64% of UK demand in central London. They are recognising the relative value on offer and waking up to the buying opportunity available. At the same time, investors have become thinner on the ground, going from 13% to 9% of total demand.

The profile of those parting with prime central London property has changed too, with a higher proportion of second-home owners and investors selling, particularly among non-UK nationals.

Changing seller profiles



Source: Savills Dealbook

A GRADUAL THAW

These changes provide a useful reminder that markets evolve as conditions change – and that prime central London is no exception.

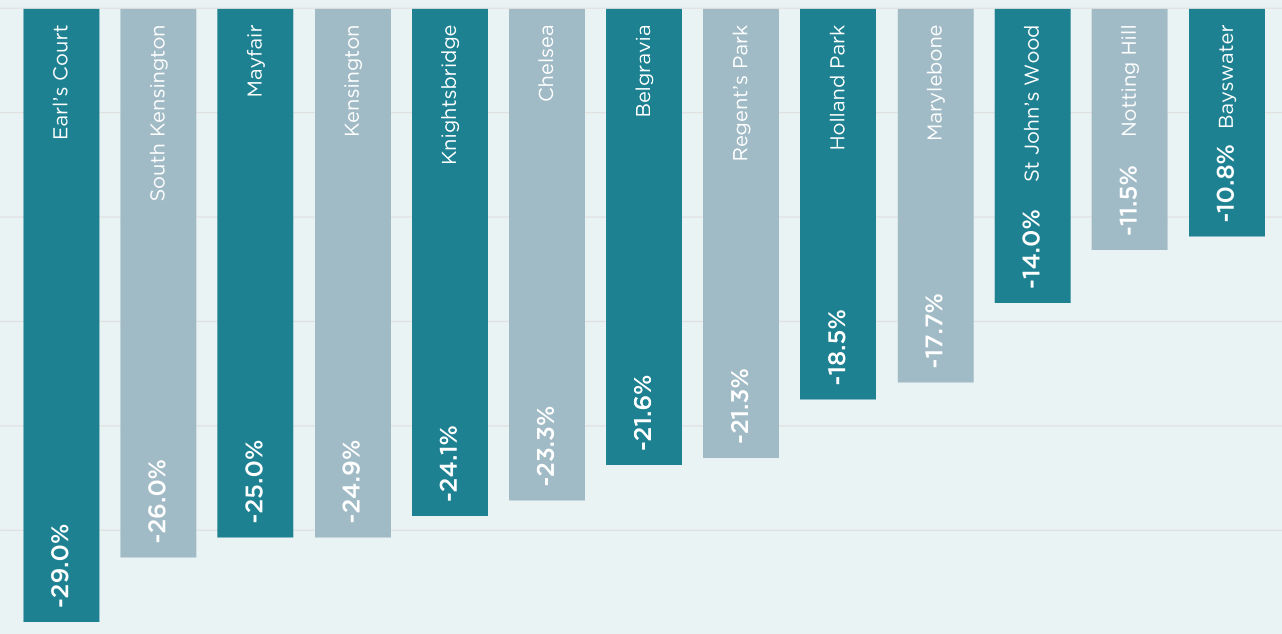
The extent of this evolution will become much clearer over the coming months, as more details about the UK tax environment for ultra-high-net-worth individuals emerge.

Certainly, with the newspapers awash with warnings of the risk of capital flight, the realisation is dawning that retaining and continuing to attract wealth to the UK is key to its economic fortunes.

Providing this is recognised at the next Budget, and people's fears are averted and a balanced approach is taken to further tax reform, we can expect a gradual recovery in the prime central London market once any further changes have been digested. In the meantime, there is a strong buying opportunity available to certain buyers.

Those considering whether to take advantage of this would do well to note that, as the Arctic temperature improves, the grey whale returns to its summer feeding grounds and the Arctic squirrel eventually comes out of hibernation.

Prime central London price movements since 2014 peak



Source: Savills prime London sales index, June 2025

WHAT'S THE TREND

FOR ULTRA-HIGH-NET-WORTH INDIVIDUALS

Ultra-high-net-worth individuals who call London home - whether as their primary residence or one of several - have navigated significant shifts in the tax and regulatory landscape over the past year.

The question many are asking is: how are these changes reshaping the prime central London property market?

To get a sense of the impact, we surveyed 50 advisers who work closest with them - private bankers, solicitors, and wealth advisers. Their insights reveal patterns in how the market has adapted, and what may lie ahead.

WHAT HAS ALREADY HAPPENED?

61%
of clients are continuing to review their options

39%
of clients have already become non-resident

SO WHY ARE THEY LEAVING AND/OR SELLING?

% of respondents reporting the following factors as having a significant impact on demand

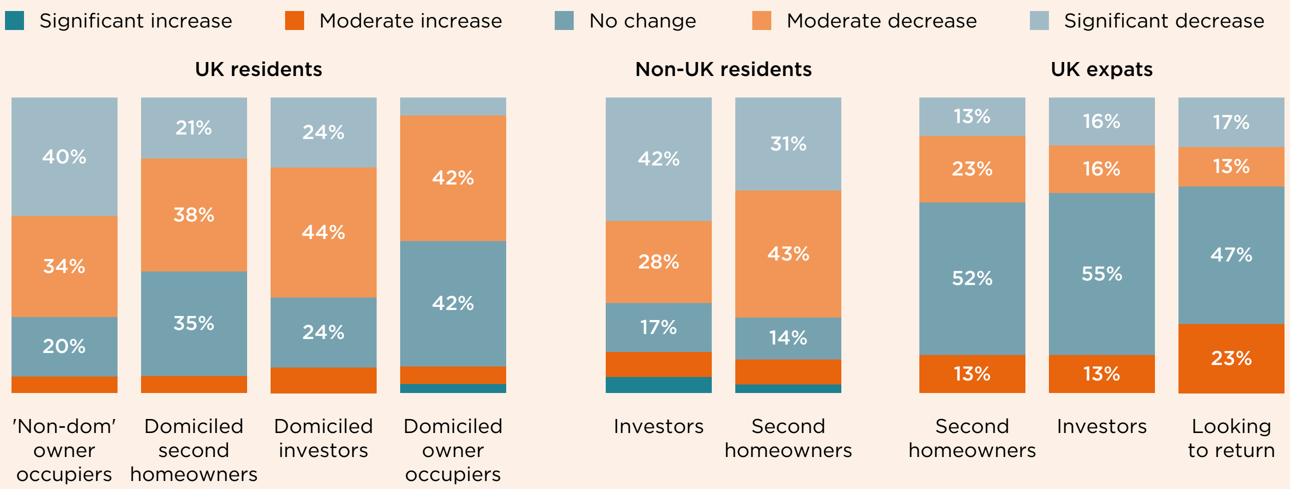
60%
long-term 'non-doms' now being subject to the **full ambit of the UK's inheritance tax regime**

51%
increased stamp duty land tax surcharge **on second homes**

46%
concerns about **future tax rises**

The abolition of the remittance basis for income and capital gains was less of a concern at 23%

HOW IS THIS IMPACTING DEMAND?

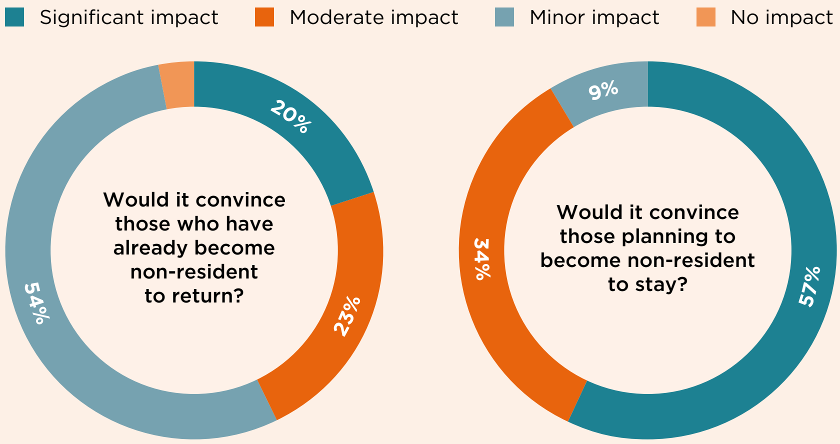


Source: Savills prime central London professional advisers' survey, July 2025
Note: This survey was completed in July and as such may not reflect the most up-to-date discussions around potential changes to taxation.

WHAT WOULD HAPPEN IF WE MADE A U-TURN?

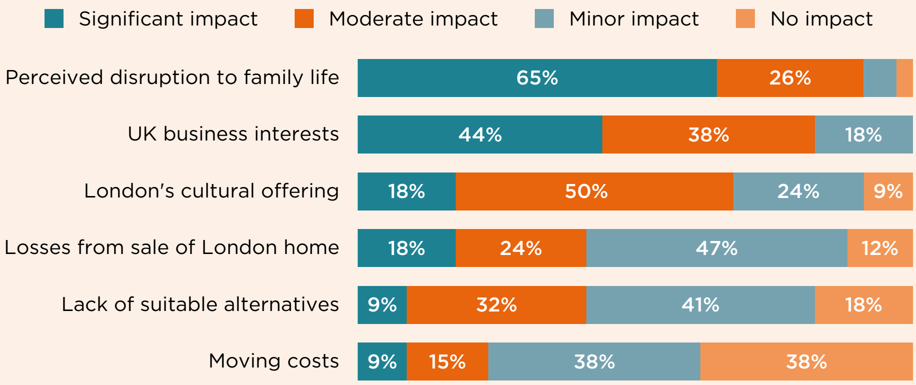
57%

of advisers felt that if the chancellor were to reverse the inheritance tax element of the 'non-doms' policy, it could have **a significant impact on keeping wealth in London**. However only 20% said it would significantly encourage those who have already left to return.



WHY HAVE SOME 'NON-DOMS' STAYED PUT?

The likely disruption to family life and current business interests were the main factors leading people to remain in London, supported by the capital's cultural offering.



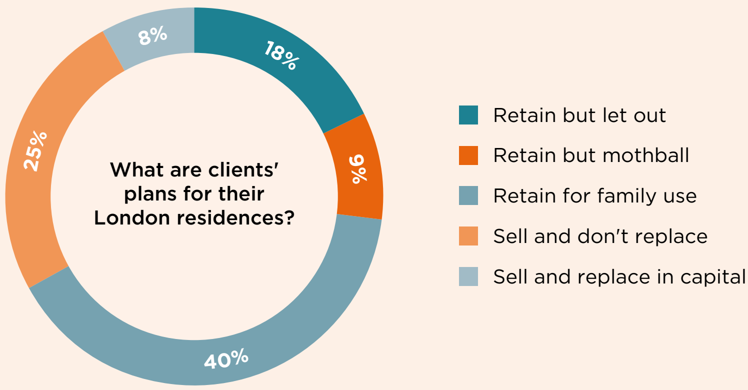
42%

shifted from buying to renting property reflecting the high transactional costs involved in buying a central London property and the likely period of ownership needed to recover those through capital value growth.

FOR THOSE WHO DID LEAVE, WHAT'S HAPPENING TO THEIR PROPERTIES?

67%

of our advisers' clients who have become non-resident retained their London property so they can continue to use it when visiting the capital.



Source: Savills prime central London professional advisers' survey, July 2025

A TURN OF PHRASE

WORDS BY NICK MAUD
Director, Residential Research

New dynamics open up in London's prime central lettings market during this significant period of upheaval

"May you live in interesting times" goes the well-known expression. Laced with irony, its origins are uncertain. Whatever its source, the implication is clear – periods when accepted norms are upset bring an instability that tests the resolve of those who live through them. In its oldest rendering, the saying is actually the first of a triplet, followed by the somewhat foreboding, "May the authorities pay attention to you," and the only slightly less ominous, "May the gods grant you everything you desire".

But are these sardonic undertones relevant to what's happening in the prime central London (PCL) lettings market?

INTERESTING TIMES

Recent times have certainly been 'interesting' for both prime and super prime landlords and tenants. Following the surge in pent-up demand, unleashed after Covid lockdown restrictions were lifted, the market has had to acclimatise and return to more predictable seasonal patterns.

Nevertheless, gross yields remain some way above where they were at the start of the pandemic, up to 3.4% in June 2025 from 2.9% in March 2020. This is in light of continued price sensitivity in the PCL sales market, with average prices down 5.5% on the post-pandemic peak of June 2022, compared with an increase in rents of 7.7% over the same period. While landlords who have remained in the market have seen some medium-term cashflow benefit in this regard, rents have now stayed flat on a quarterly basis since the end of last year.

AUTHORITY FIGURES

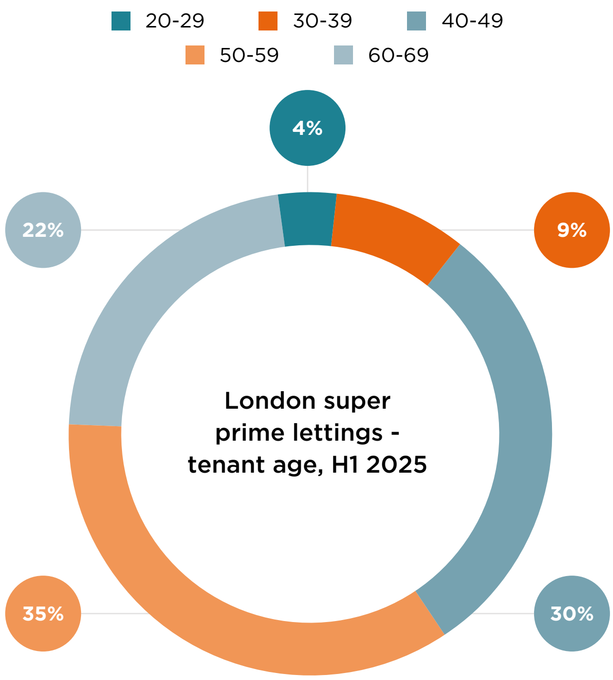
This coincides with 'the authorities' fixing their gaze more firmly on the rental sector. The Labour government's inaugural budget increased the stamp duty burden for those purchasing second homes, impacting the costs associated with starting or growing a buy-to-let portfolio.

Additionally, the most wide-ranging regulatory overhaul for the lettings market in over a generation is in the post, in the form of the Renters' Rights Bill, which is still making its way through parliament. It is a complex piece of legislation and brings with it cost implications for some landlords. Worthy of note however, is that properties where annual rents are at £100,000 and above are exempt from the new regulations. For PCL, this accounts for 15% of the properties let by Savills since the start of 2024.

This information reflects the latest draft Renters' Rights Bill as at 3 September 2025.

The Renters' Rights Bill remains subject to further amendment as it progresses through the Parliamentary approval process in the lead-up to it receiving Royal Assent and becoming law.

Scan the above QR code to access Savills dedicated Renters' Rights Bill information page where you can find out the latest advice.



Source: Savills Dealbook, H1 2025 (Super prime: £5,000+ per week)

NO PLACE LIKE HOME

The Budget also confirmed the unwinding of the non-doms tax status, first trailed by the Conservative government in 2024, which gave those impacted a year-long window to take advice and consider their position.

Anecdotal evidence suggests that a proportion of non-doms, some with long-established ties to London and the United Kingdom, have shifted their focus to the lettings market. Savills data goes some way to supporting this observation. It is generally more pertinent to the super prime space, starting at £5,000 per week, where motivators for both tenants and landlords differ even from the wider prime market. While some are looking to upsize or downsize in response to local and global tax changes, others are opting to 'try before they buy' or simply choosing to stay in their rental to avoid disrupting their children's education.

The proportion of these super prime renters aged between 40 and 60 rose to 65% in the first half of 2025, from 59% in 2024. This would be the right age and wealth bracket for those longstanding non-doms. Elsewhere, an 18% annual increase in PCL tenancies of six months or less over the first half of the year could indicate certain households opting for a short-term solution while a longer-term plan is worked out.

Similarly, demand for lettings properties in PCL is being driven by smaller, more manageable spaces, better suited to a globally mobile demographic. Rents for flats in these districts grew by 0.5% in the year to June, compared with a fall of -1.6% for houses. The same measure of change was strongest for one-bedroom properties, which grew by 2.3% on the year, in contrast with six-plus bedroom homes, where prices fell by -2.6%.

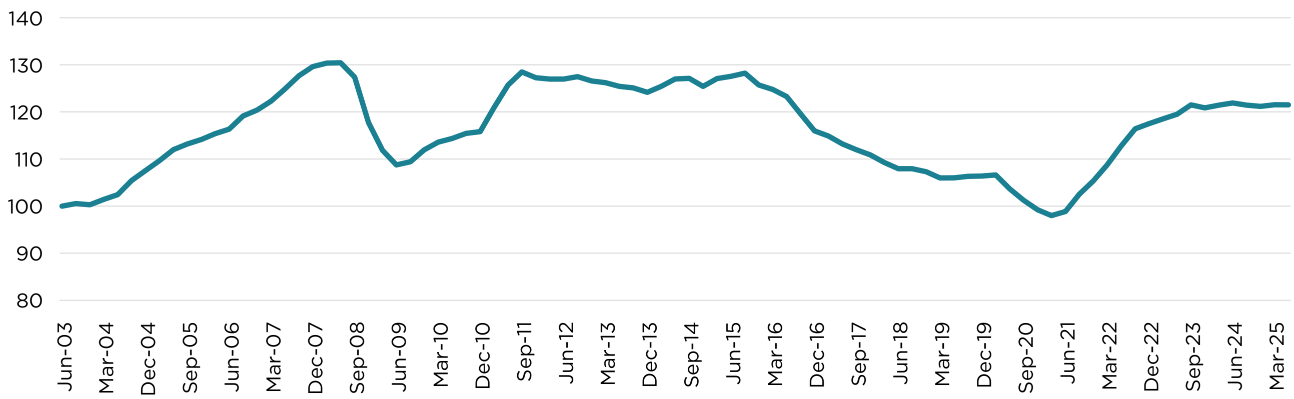
Flight to safe haven may also have its part to play, with those relocating to London more regularly 'trying before they buy' in the capital's prime lettings market. North Americans, for example, are the most substantial super prime rental demographic, accounting for 39% in the first half of the year.

NOTHING NEW UNDER THE SUN

A period of flux is currently playing out in the prime central London lettings market, with new challenges emerging and different dynamics at play. However interesting the regulatory and market backdrop may be, this is a market that has experienced upheaval before. And, despite some inevitable volatility, it has emerged resilient – as the chart below shows.

While neither renters nor landlords may end up being granted 'everything they desire', perhaps there is another old proverb that better suits today's market: "Fortune favours the brave".

Prime central London long-term rental growth



Source: Savills prime lettings indices, Q2 2025

PRIME CENTRAL LONDON

MARKET MOVEMENTS

Looking at the sales and rental movements across 14 premium London districts over one- and five-year periods, the data reveals significant variations between areas and time frames, with some locations showing resilience while others present new opportunities.

With prime properties currently trading well below previous peaks, understanding these patterns helps identify where market conditions align with your property goals.

■ 1-year ■ 5-year

Bayswater

	House price	Rental growth
1-year	-2.3%	-
5-year	-0.7%	-

Belgravia

	House price	Rental growth
1-year	-4.0%	-2.6%
5-year	-1.6%	+26.8%

Chelsea

	House price	Rental growth
1-year	-2.8%	-3.9%
5-year	+0.8%	+13.4%

Earl's Court

	House price	Rental growth
1-year	-5.9%	-2.6%
5-year	-8.3%	+15.1%

Holland Park

	House price	Rental growth
1-year	-4.7%	-1.6%
5-year	-4.7%	+9.0%

Kensington

	House price	Rental growth
1-year	-4.8%	-1.8%
5-year	-4.2%	+8.5%

Source: Savills prime London indices, June 2025

Knightsbridge

House price	Rental growth
-5.2%	-1.2%
-4.3%	+20.4%

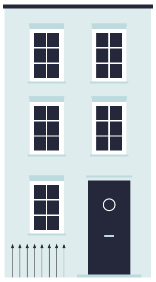
Marylebone

House price	Rental growth
-4.5%	+5.0%
-8.8%	+25.5%

Mayfair

House price	Rental growth
-3.5%	+2.6%
+0.7%	+16.9%

Notting Hill



House price	Rental growth
-1.4%	+0.7%
+5.4%	+15.9%

Pimlico

House price	Rental growth
-2.0%	+0.8%
-0.4%	+12.0%

South Kensington

House price	Rental growth
-4.7%	-1.4%
-3.1%	+12.8%

St John's Wood

House price	Rental growth
-3.5%	+1.8%
+0.8%	+18.1%

Westminster

House price	Rental growth
-2.3%	+1.0%
-2.0%	+17.0%

THE VIEW FROM SAVILLS

PRIVATE OFFICE

ALEX CHRISTIAN
Joint Head of the Private Office

Where discretion meets distinction in prime central London

There are few averages in the super prime central London residential property market. It is not only prices that vary, but each locality has its own property market quirks and nuances. The Savills Private Office team acts as a single point of contact for the ultrawealthy and their advisers, providing an informed perspective on the subtle intricacies as well as the overarching themes of the market.

Large family homes, in general, have sold more easily than apartments in 2025, with multiple deals above £30 million transacting despite a torrid economic and fiscal backdrop. The apartment market has been more challenging, with flats deemed as a 'nice to have' in this era of heightened costs.

The market held its breath across PCL after the Spring Budget and Trumps' first tariff announcement, but since May and over the summer there has been an uptick in activity. There is a renewed interest in Northern European cities, including London, due to the soaring temperatures in Southern Europe. Britain's much-mocked dreary weather, it seems, has now turned into a positive for many overseas buyers seeking a retreat from heat.

Another notable development is the resurgence of British buyers, who are taking advantage of softening pricing and reduced competition from international wealth. Increasingly, we are seeing buyers make the move into the heart of London, from areas such as Fulham and Wandsworth, to take advantage of the value now on offer.

ISABELLA BIRCH REYNARDSON	STEVIE WALMESLEY
Head of Super Prime Lettings, The Private Office	*Head of Super Prime Lettings, North London*

Super prime lettings: an era of agility

This year, the continued blurring of lines between sales and lettings has become increasingly prevalent, with real fluidity within the high-end residential markets. Some sellers have switched to become landlords — and vice versa — whilst developers who renovated with the intention of selling have crossed over to lettings, and frustrated landlords are testing the sales market. At the same time, buyers currently undertaking renovations are looking for suitable temporary accommodation whilst works are completed, or simply haven't yet found a suitable place to call home. In a time of such uncertainty for many, it has been rewarding for our teams to work hand in hand, helping our clients and contacts secure their desired objectives. Even if a little varied to what they were originally thinking.

Tenant profiles are changing too with a notable increase in top-end renters under 30 years old. In part this is accounted for by burgeoning sectors: the presence of self-made tech executives has jumped and now comprises around 22% of our tenancies this year. There is also a generational trend as the next in line take over family offices and businesses.

These tenants are reaffirming what the PCL estates, such as the Howard de Walden, Grosvenor and Cadogan Estate, have been trying to curate in their various areas. They choose to cycle rather than drive and want village-like, not homogenous high streets. Independent haunts synonymous with the neighbourhood are on the tick-list, as well as high quality, newly developed homes near to the latest members' club. The rental hot-spots for the super prime tenant tend to surround Hyde Park, with some demand spreading north into St John's Wood and Hampstead.

LOCAL AREA GUIDES

Our agents discuss what makes prime central London districts and microhoods so desirable.

MAYFAIR

JASPER JEVONS	GUY SPENCER
Sales	***Lettings***

Keeping a foothold in Mayfair

Mayfair is the ultimate discretionary market. The wealthy international families that have owned here for generations simply would not entertain being anywhere else. It was therefore unlikely the furore around inheritance tax changes was going to drive a mass exodus – despite the noise.

Many Mayfair homeowners do not need to sell or rent and they are reluctant to shut themselves out of this prestigious market which, in a few years, will prove more expensive to buy back into. Rather than leave altogether, these residents are carefully assessing their portfolios and moving between destinations.

The first half of 2025 has demonstrated the desire that exists to retain a foothold in Mayfair. Middle Eastern buyers arrived for the summer months to house hunt, often seeking out secondary accommodation for the younger generation. With rumours of additional wealth taxes in California and New York, and the favourable currency play, US buyers are more active this summer than in previous years too.

Best-in-class apartments between £10-15 million continue to sell well and in the apartment market (between £1m and £5m) price reductions have spurred sales on as investors take advantage, believing the worst has passed.

Tenants too are on the move more regularly, opting for shorter rental periods than the typical prime central London tenant. Many use these apartments as a convenient bolt-hole or pied-à-terre, whether for business, work commitments, or simply to experience the Mayfair lifestyle. Landlords are increasingly open to offering shorter-term agreements — typically one, two, or three months (but under six) — which also helps them navigate the implications of the Renters' Rights Bill. The tenant demographic in Mayfair remains diverse, ranging from business owners, finance professionals, and students, to a strong Middle Eastern presence during the summer months, as many choose Mayfair to escape the heat of their home countries.

Although the opening of the Rosewood hotel in the former US embassy building on Grosvenor Square (this September) may negate the need to rent for some, it will also increase the area's appeal with seven restaurants and bars now announced, including the American-Italian Carbone. As will 1 Mayfair — the £2 billion residential project is due for completion in 2026 and will bring 24 lateral apartments and penthouses, and five turnkey townhouses to Park Lane and Hyde Park.

KNIGHTSBRIDGE

RICHARD GUTTERIDGE
Sales

KATIE HEFFERNAN
Lettings

The flight to the best addresses

Knightsbridge is revered for its iconic attractions, landmarks and superior retail offerings. Sweeping upgrades to the public realm – £50 million of landscaping along Sloane Street, and the opening of The Emory (London's first all-suite hotel) – are drawing even more visitors to the area.

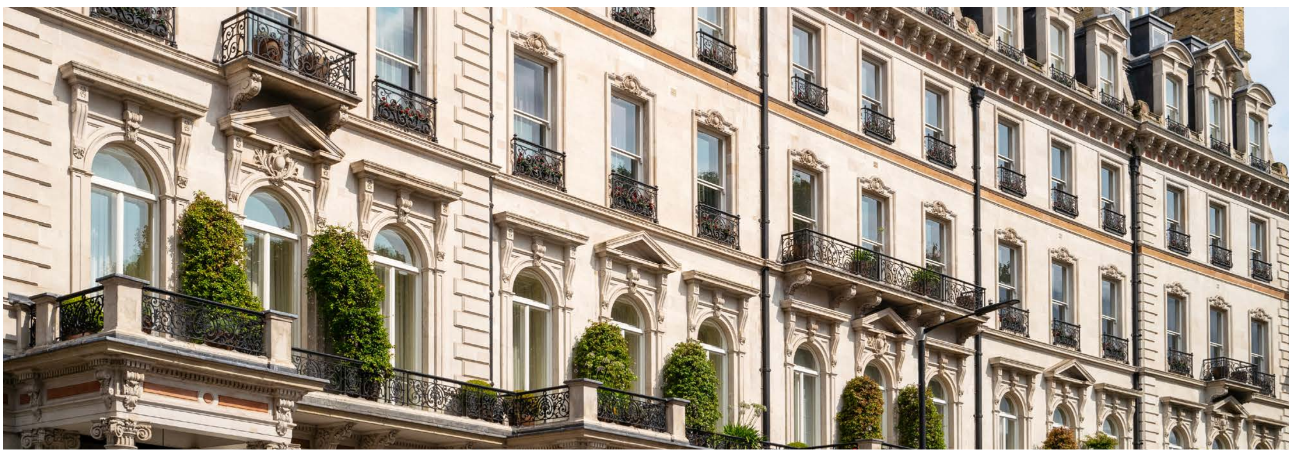
However, between the bustle of Kensington Road and Brompton Road is another Knightsbridge. Step behind the curtain and into the peaceful residential enclave of Knightsbridge Village, where the streets of Montpelier Square, Trevor Square and Ennismore Gardens are among the most desirable in the world.

Despite fierce headwinds, big family homes are selling here. In fact, against a landscape of global political instability, stubbornly high interest rates and an increasingly challenging tax environment in the UK, there has been a flight to the best addresses. Knightsbridge presents good value this year. The average property price versus the 2014 peak, has fallen further than the prime central London average. For US buyers, who are governed by international tax law – and therefore more impervious to UK fiscal policy – the currency play and price adjustments, alongside other US dollar-based buyers, mean trophy assets in Knightsbridge are, on average, 40% cheaper than a decade ago.

Although Middle Eastern buyers have returned this summer, leading to a noticeable uptick in offers and sales, demand may ease in the run-up to the Autumn Budget, and prices could soften again. This will be the tipping point, where Knightsbridge becomes exceptionally good value in a historic context.

On the other hand, the lettings team is emerging from a very busy summer as students, with stories of London's frantic, post-Covid rental market still ringing in their ears, have taken a scattergun approach and offered on multiple properties at once. This is new for landlords who will miss out on a deal if they are too slow to communicate. The key to the summer student market has therefore been to align the expectations of both landlord and tenant.

Deal flow in the prime family rental market is steady, with the number of European corporate relocators increasing. They are, however, price-aware and focused on quality. Gone are the days when securing a tenant in Knightsbridge was a sure thing. Although rents tracked up into 2025, if a property is tired and not recently refurbished, it will sit empty.



CHELSEA

DAN CARRINGTON	OLIVER MELLOTTE
Sales	*Lettings*

Buyers and tenants still falling for cherished communities

Chelsea has a rich history and an architecture that is among London's most elegant, with the Thames right on the doorstep. However, despite its luxurious housing stock, this is not an ostentatious area. Rather, it is a tapestry woven over centuries of bustling, and distinct, micro-communities – from the pieds-a-terre around Sloane Square, to mansion blocks on Cheyne Walk, and the family houses on the 10 Acre Estate.

In June and July, sales activity picked up and a new market quirk emerged: potential buyers wanting to view 20 to 30 properties to find their dream home. This is indicative of wider uncertainty, and a belief they would unearth a bargain. In reality, decisiveness is needed, or these buyers may be stuck searching if values start to rise this autumn. Though not as buoyant as the family home market, the core apartment market has remained busy (with an average purchase price of around £1.4 million), as first-time buyers, supported by the Bank of Mum and Dad, and young professionals take advantage of softer pricing and marginally lower interest rates.

The family homes sector (an average purchase price of £5 million) is being powered by the necessity move. Western Chelsea will forever attract those families who need to relocate for schools and space and will find better value for money here. These full-time residents, whether homeowners or tenants, are drawn to the bustle of Fulham Road, lined with independent restaurants such as Josephine Bistro, boutique stores, and the village feel.

The Chelsea lettings market is reverting to a more seasonal rhythm after a disrupted few years. Families relocating for jobs, trying before they buy, or upsizing reappeared in the spring, and when the school summer holidays started, young sharers and students took over.

Properties that are sensibly priced and modernised to today's tastes, on a garden square or a sought-after road, have let easily. However, this has been the year of the hesitant landlord. For some, the wave of legislative changes and the impending Renters' Rights Bill has prompted consideration of alternatives, leading a few to test the sales market. Others are weighing their options more cautiously. Nevertheless, the rental market has remained robust with strong demand, and many are likely to return to letting in the autumn when sales offers may fall short of their expectations. Change is coming in the shape of the reimagined and restored Lots Road Power Station, now the Powerhouse on Chelsea Waterfront – and with it, new homes.

ST JOHN'S WOOD

STEPHEN LINDSAY
Sales

LUKE HULL
Lettings

Serious sellers only need to apply

The market in St John's Wood is a price-sensitive one, but the buyers are serious. What they are looking for are sellers who are serious too. It is an antiquated notion that an ambitious vendor can get lucky with selling a property off-market for an inflated price. In 2025, sellers have to show buyers that they genuinely want to transact, by pricing right first time.

It's complicated. That price tag has to allow for slower perceived future capital growth, costly renovations and high stamp duty. Nevertheless, several record-breaking deals completed in St John's Wood this summer.

New developments are coming that will change the neighbourhood. The old army barracks is being transformed into a 5.5-acre super prime site compromising eleven townhouses and 168 apartments across nine buildings, rising from three to six storeys.

On Abbey Road, the award-winning St. Marks boutique scheme is taking shape. One- to four-bedroom apartments and penthouses are being carefully crafted within this classic 19th-century mansion block, which is being restored and retrofitted. With homes expected to launch in 2026, these new developments will bring a certain polish to St John's Wood.

Similar to sales, there are no easy deals in lettings, and pricing is key. Each negotiation is a balancing act to marry the needs of the landlord and the tenant. Although deal flow has been steady over the last 12 months, each property launched requires far more viewings before an offer comes in than in the post-Covid era.

Although the final and accepted offer will be competitive, it is now rarely over the asking price. Tenants are far more likely to offer six months or a year upfront to secure the deal than go over the target price. The number of properties rented via the Bank of Mum and Dad has risen again, with students finding accommodation later in the summer than in previous years. Families moving to start school in September have been slow too.

There is always demand in St John's Wood for one- and two-bedroom properties, as young couples move from sharing into their own place. However, families have been reducing their spend and renting in the £2,000 to £3,000 per week bracket, down from £3,000 to £4,000. With VAT on school fees, tenants have reached a pinch point and are sacrificing extra space.

NOTTING HILL

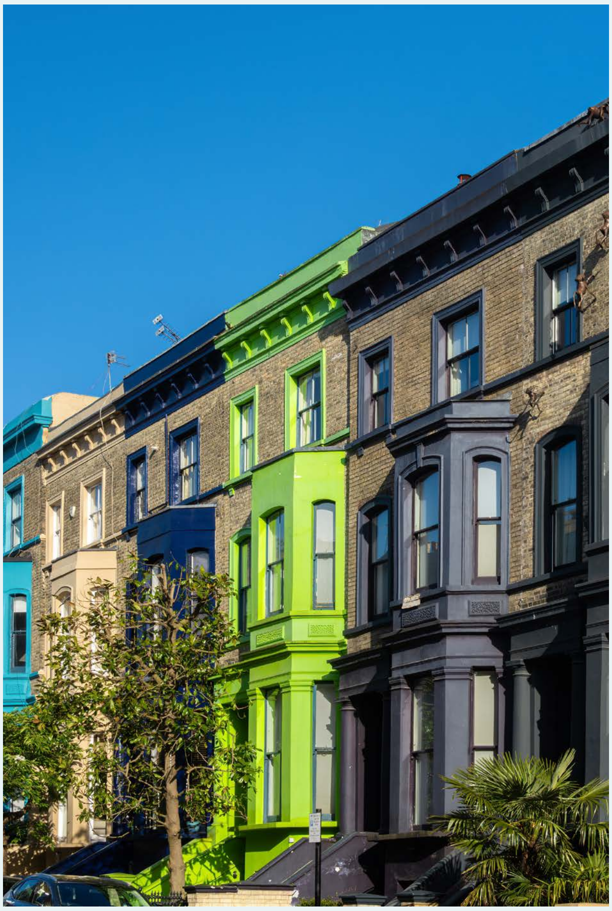
DAN MARTIN
Sales

ARCHIE ORR EWING
Lettings

A younger buyer in town

Notting Hill's unique character has long made it a magnet for creative professionals, with media, tech and music executives drawn to its distinctive blend of artistic heritage and village-like atmosphere.

This diverse mix has been further enriched by the return of families that had moved out of the capital during the pandemic. With the pull of professional networks and office proximity guiding their returns, their appetite for nature and space remains unchanged. For these returnees, Notting Hill's private square gardens offer the perfect compromise - urban convenience wrapped in leafy sanctuary.



Meanwhile, tax changes are reshaping buying patterns across the high-net-worth segment. Rather than leaving London entirely, many are choosing to consolidate their property footprint, downsizing to smaller but strategically located homes within their favoured postcodes.

The area is also witnessing a notable generational shift. Young tech executives are entering the market alongside beneficiaries of accelerated wealth transfers, as parents seek to mitigate inheritance tax exposure. These younger families are particularly drawn to Notting Hill's tree-lined residential streets, attracted by the strong sense of community and family-friendly environment.

Properties with gardens in the £3 million to £6 million range are seeing consistent activity, while the ultra-prime market above £10 million shows more caution. Political uncertainty around potential wealth taxes continues to influence buyer behaviour at the top end of the market, echoing the hesitancy that affected transactions last autumn.

Those considering moves in Notting Hill may find current market timing worth evaluating, particularly in light of expectations around future price movements.

In the lettings market, the supply-demand ratio is stabilising with available stock on the rise and demand for some property types softening. Gains in rent from 2022-2024 have continued for one- and two-bedroom flats, where supply remains limited by historic standards. For larger flats and houses, more subdued demand has seen increases stall this year.

Tenants are becoming far more discerning about quality. New kitchens and bathrooms must feel unused and slightly outdated properties that would have rented two years ago will sit unoccupied. In particular, houses commanding rents in excess of £150,000 per annum need to be presented in very good condition to attract tenants at that level. New developments such as The Whiteley have demonstrated that exceptional rents are achievable when the standard of finish and amenities are commensurate with the price.

KENSINGTON

PETE BEVAN
Sales

LOUISE GOOD
Lettings

A recalibrating of sales and lettings

This year, Kensington has seen a clear divide between demand for houses and apartments. Many buyers now see freehold houses with outdoor space as offering better long-term value than similarly priced leasehold apartments. Higher service charges are also influencing this shift. This trend is largely driven by UK-based individuals, couples, and families looking for full-time homes, rather than an international purchaser who is looking for a part-time bolthole. As a result, homes priced between £3 million and £5 million in pretty pockets like Hillgate Village are seeing strong interest. At the top end those 'best in class' enclaves (Scarsdale Villas, for example) continue to show resilience.

Despite this demand, there is little urgency around transactions. Buyers are extremely thorough and diligent, taking time to scrutinise surveys and reports before committing. As a result, deals are now taking two to three months rather than four to six weeks. Looking ahead, much will hinge on the Autumn Budget. However, continued activity is expected up to the £6 million mark with a sprinkling of larger deals.

The lettings market is in the process of recalibrating too. Although there is a lack of stock available, due to landlords attempting to sell off their investment portfolios, tenants in the core market (paying between £600 to £1,500 per week) do not feel any pressure to rush either. They are treating the process as a painstaking negotiation to get the best price, rather than a hell-for-leather race. In addition, they are taking a methodical approach, often viewing properties across several boroughs before committing. This, in turn, means that those landlords who are undeterred by the Renters' Rights Bill are adjusting their expectations on what rent can realistically be achieved.

At the premium end, some families are opting to rent rather than buy, prioritising flexibility and proximity to well-respected schools with minimal disruption to their family lifestyle. However, many tenants at this level are requesting shorter break clauses due to global uncertainty. Kensington has some wonderful examples of new build developments that have availability for lettings and do trigger a degree of competition, including Holland Green, One Kensington Gardens, Holland Park Villas and Lancer Square.

As the market recalibrates, Kensington's enduring appeal lies in its ability to offer both stability and style. Whether buying or renting, the emphasis is clear: thoughtful decisions, timeless locations.

STOCK AND AWE:

LONDON'S £5M+ SUPPLY UNVEILED

WORDS BY SHYAMAL MAHARAJ

Associate Director, Residential Research

London's super prime new build market faces an evolving landscape, shaped by years of disruption - including factors such as Brexit, Covid-19 and increased regulation - and underpinned by a challenging economic environment. Although location remains crucial, considerations such as lifestyle, amenities, vibrant neighbourhoods and proximity to ultra-premium experiences – such as Third Space health clubs and local artisanal coffee shops – are all sharing the spotlight.

However, there are nuances in market dynamics across the capital. Sales rates differ by postcode as well-informed buyers look for their ideal location and the latest in amenity offering – whether that be cutting-edge wellness facilities or family-centric conveniences such as crèches. Our analysis shows prospective buyers can currently tap into an unusually wide super prime new build offering, across a range of local sub-markets, in their search for their perfect home; albeit at different stages in the development cycle.

NEW BUILD SUPPLY ACROSS PRIME CENTRAL LONDON

While demand is dynamic, supply can take longer to respond to the market, especially given the backdrop of challenges facing the wider London development space. Some areas sell faster than others, revealing evolving patterns of demand from the market. This impacts the perceived or actual rarity of a particular postcode.

Currently, just over 600 £5 million+ new build homes are for sale in prime central London (PCL). The distribution of where these homes are tells a more complex story, as each postcode reveals its own narrative. In order to get a sense of how the supply of £5m+ homes varies by area – where words fall short, a map comes in handy.

LOCAL VARIATION

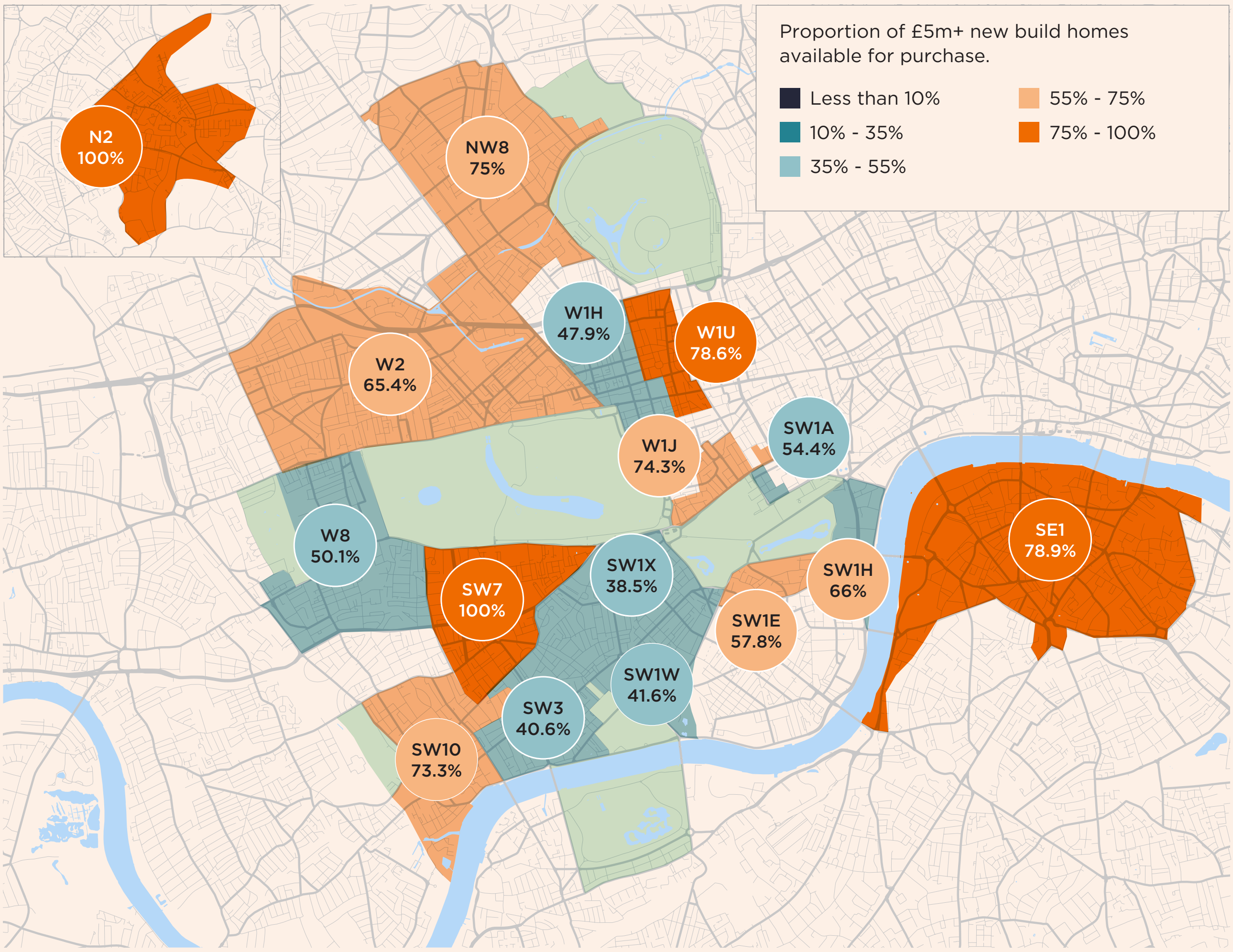
The map displays the proportion of the £5 million + new build pipeline (whether completed or under construction) currently available for purchase, specifically including stock coming to the market in the next 12 months. For example, in SW1W/X (Belgravia), an average of 40% of homes (shown on the map) are available for purchase. This lower average availability reflects the desirability of the Belgravia area.

Meanwhile, to the north-west of Hyde Park in W2 (Bayswater), availability is higher on average across the postcode at around 65%. This is due to the recent addition of more £5m+ homes to the market, supported by the regeneration of Queensway and its surrounds. Over to Southbank, SE1 boasts a higher average availability of 79%, underpinned by higher-density developments.

Exclusive river views, regeneration and cultural vibrancy are proving to be major draws for younger affluent, tech-savvy buyers, particularly millennials and Gen Z. These transformational areas are likely to capture the demand from this cohort that value neighbourhood character and Instagrammable opportunities as much as traditional prestige locations.

In more established parts of prime London, NW8 (St John's Wood) is expected to launch a brand-new tranche of super prime stock in the next year, lifting the average availability up to 75% for the area. N2 (Hampstead), though not strictly PCL, brings a new wave of super prime homes that blend contemporary design with classic charm, attracting downsizers. W1 (Mayfair and Marylebone) remains ultra-exclusive, with a relatively small development pipeline of premium stock. (Continued on page 22).

Prime central London's super prime properties: a map of where to buy £5m+ homes



Source: Savills Research

WHERE ARE THE TURNKEY HOMES?

Savills data shows buyers increasingly prefer homes nearing completion. Turnkey super prime homes account for less than half of homes in the overall pipeline. St James' stands apart, offering the highest proportion of completed homes in the £5-10 million range – a rare sweet spot for those seeking super prime credentials without the platinum-level entry fee. Whitehall, Marylebone and Mayfair boast higher levels of £10 million+ turnkey homes – intent on drawing the most affluent of buyers.

Meanwhile, Knightsbridge, historically the quintessential definition of super prime, is rolling out new top-tier stock. It offers a sizeable chunk of £15-20 million homes in one of the most exclusive addresses in town.

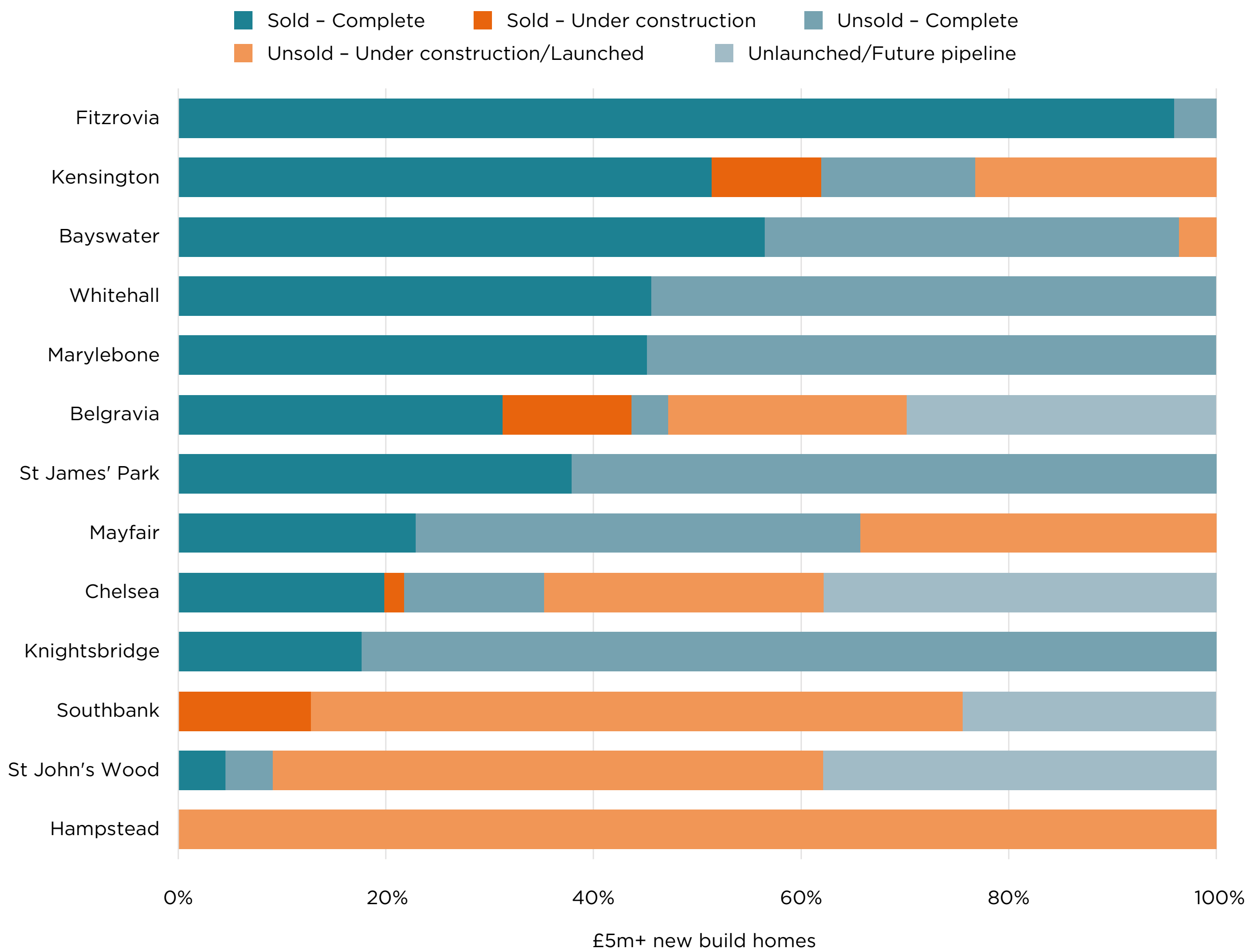
SHIFTING BUYER PREFERENCES SIGNAL NEW MARKET TRENDS

Amid these shifts, London faces mounting competition on a global stage. Yet, the potential base of super prime demand is growing – the *UBS Global Wealth Report 2025* predicts five million new USD millionaires by 2029. This next generation of wealth – often millennials and Gen Z – brings fresh tastes, prioritising vibrancy, walkability and experiences over traditional grandeur. The regeneration of neighbourhoods in W2 and SE1 is set to attract such buyers, whose evolving preferences are reshaping demand in real time.

Buyers now seek not just luxury but a sense of vibrant community, rewarding those attuned to the subtle cues from buyers, which define true desirability in an era where prestige is as much about experience as address.

But as these schemes sell and changed planning policies limit future development of this nature, the opportunity to secure such properties in the future may be constrained.

What is the distribution of the super prime market by local area including the future pipeline?



Source: Savills Research

For over 170 years, we've advised on best-in-class property in London's most desired postcodes. Across 15 central offices, we guide our clients to make the right property decisions, whether they're investing in a luxury pied-à-terre in Mayfair or searching for an elegant family home in Holland Park.

SAVILLS RESEARCH

We're a dedicated team with an unrivalled reputation for producing well-informed and accurate analysis, research and commentary across all sectors of the UK property market.

PRIME CENTRAL LONDON AGENTS

Liza-Jane Kelly
Head of London Residential
+44 (0) 20 7590 5078
lizajane.kelly@savills.com

Richard Gutteridge
Co-Head of Prime Central London
+44 (0)20 7824 9020
richard.gutteridge@savills.com

Peter Bevan
Co-Head of Prime Central London
+44 (0)20 7535 3321
peter.bevan@savills.com

Amelia Greene
UK Head of Lettings
+44 (0)20 7590 5069
agreene@savills.com

Isabella Birch Reynardson
Head of Super Prime Lettings
+44 (0)20 7824 9009
Ibreynardson@savills.com

Nina Coulter
Head of London Residential Development Sales
+44 (0)20 7409 8701
ncoulter@savills.com

RESEARCH

Lucian Cook
Head of Residential Research
+44 (0)20 7016 3837
lcook@savills.com

Nick Maud
Director, Residential Research
+44 (0)20 7299 3047
nick.maud@savills.com

Frances McDonald
Director, Residential Research
+44 (0)20 7409 5905
frances.mcdonald@savills.com

Shyamal Maharaj
Associate Director, Residential Research
+44 (0)20 7299 3008
shyamal.maharaj@savills.com

Jessica Tomlinson
Associate Director, Residential Research
+44 (0)20 3810 9899
jessica.tomlinson@savills.com


savills